

PITCH — LULU — ADJUDICATED — WATCH / NO ENTRY: the stock is cheap but the earnings decline is real and still going, so we wait for the Americas sales trend to turn before we buy anything (conviction 5/10).

Price used throughout: ~\$100.3 (desk feed, 2026-09-04 21:12Z) / \$100.61 vendor close, after a -17.4% single-day fall from \$121.77. New 52-week low (\$98.00 intraday). High was \$225.98. We hold nothing and have no orders working.

What we believe

Lululemon has gone from a growth stock to a broken one in about nine months, and the market has finally repriced it: down 56% from the high, down 17% in a day on the second-quarter report. At roughly \$100 the shares trade at about 11.5x the company's own guided full-year earnings excluding a one-time tariff refund (about \$8.60–8.90 a share), against a business with no debt, roughly \$1.39 billion of net cash, and gross margins in the mid-50s.

We believe three things, in order of confidence:

1. **The cheapness is real but it is earned, not accidental.** North American same-store sales are negative and getting worse, not stabilizing. The company just cut its full-year earnings guidance by about 27% versus what analysts were carrying. Nothing in the filings says the decline has bottomed.
2. **The setup is not the usual retail death spiral.** Inventory is down 7% in units. That matters: the thing that normally turns a struggling apparel retailer from “cheap” into “value trap” is a pile of unsold goods that has to be marked down. That pile is not there. Cash generation and the balance sheet can absorb a bad year.
3. **There is a real, dated change of leadership.** Heidi O'Neill — Nike's former President of Consumer, Product and Brand — was named CEO on 2026-04-22 and starts 2026-09-08, one trading day from now. New CEOs inheriting bad numbers typically clear the decks: write-downs, store closures, a rebased guide. That has *not* happened yet, and it is the single cheapest thing she can do.

What we do **not** believe: that we can currently explain the company's own forecast. Management guides third-quarter earnings to \$0.93–0.98 against \$2.59 a year ago — an operating margin of about 5.6% versus 17.0%. But the full-year guide requires the fourth quarter to earn \$3.96–4.16, which is only about 4.4 percentage points of margin below last year's fourth quarter, on the same revenue decline. Something is assumed to get much better, fast. Nobody has said what. Until someone does, we are not buying.

What the market believes

The market's view split in half on print day and has not re-formed:

- **Before the print**, 31 analysts carried \$13.26 of full-year earnings on \$11.10 billion of revenue. The company guided \$9.48–9.73 on \$10.35–10.50 billion. That is a –6% revenue and –27% earnings reset in a single morning.
- **After the print**, there is no consensus to disagree with. The published price target is \$111.68 with a range of **\$44 to \$280** across 34 analysts — a 6.4x spread. Next-year consensus (\$10.93) still sits *above* this year's guide, which is arithmetically stale. The same vendor page shows a forward P/E of 14.9, implying about \$6.75 of earnings, which contradicts its own consensus.

So the honest statement is: the market believes lululemon is broken and is arguing about how broken, with no shared anchor. That is not the same as a market that has priced this correctly. It is a market that hasn't finished measuring.

One data point on what the company itself believed: it bought back 1.0 million shares for \$118.8 million at an average of about \$118.80 between 8/3 and 8/28 — after the quarter had closed and days before it told the world the year was 27% worse. That is roughly \$180 million of shareholder money spent 18% above today's price by people who already had the numbers. \$712.5 million of buyback authorization remains.

Why we might have edge

- **The inventory fact is under-weighted.** Most people reading a –17% print assume markdowns are coming. Units are down 7%. The mechanical bridge from “slowing demand” to “gross margin collapse” is missing here, and it is in the filing rather than the headline.
- **The competitive story that everyone tells is wrong in our data.** The standard narrative is that Alo Yoga and Vuori are taking lululemon's share. Our consumer-heat detector reads lululemon FLAT at 40.9 and **Alo Yoga DECAYING at 27.5** — the supposed share-taker is fading faster. That reads as the whole category cooling, not a share transfer. (Caveat, stated plainly: Alo is private, so this score has no revenue to check it against; it is directional only.)
- **The activist situation is settled and most commentary hasn't updated.** Chip Wilson (8.7%) signed a cooperation agreement on 2026-05-27: two new directors, a third apparel-brand director due by 2026-10-01, and roughly an 18-month standstill. The “founder is going to dump stock / fight the board” story is no longer live.
- **A dated leadership catalyst is one trading day away** and nobody is positioned around it, because the company said nothing about what she'll do.

Being honest about the size of this edge: it is an edge about *facts*, not about *value*. We can see the situation more clearly than the average holder. We cannot yet say what the shares are worth, because we can't explain the fourth-quarter assumption.

Why it might be priced in

- **11.5x is not obviously cheap for a business whose earnings are still falling.** On next year's likely \$7–8 of earnings, the same price is 12.5–14.3x. That is a normal multiple for a decelerating retailer, not a bargain.
- **34 analysts cover this.** Coverage means it is *measured*, not measured *correctly* — that distinction is desk doctrine and we're applying it — but it does mean there is no informational secret here. Every fact in this deck came out of public filings within the last four months.
- **The balance sheet strength is well known.** Net cash and no debt are in every model.
- **The leadership change was announced in April.** It has had four and a half months to be priced. Anyone arguing “new CEO catalyst” is arguing that the market failed to price a widely reported appointment, which is a weak claim on its own.
- **If we adjust the enterprise value for leases** (\$366.6 million current + \$1,774.5 million long-term = \$2,141.1 million), the capital structure is heavier than the “net cash, no debt” line suggests — about \$11.97 billion of lease-adjusted enterprise value versus \$9.83 billion unadjusted. (Our own review overstated this as a multiple hit; see the table below.)

What could go wrong

Failure narrative 1 — the multiple was never the floor. We buy at 11.5x because it “can’t get cheaper,” Americas comps go from –6% to –10%, next year’s earnings come in at \$6.50 instead of \$7.50, and the market pays 10x for a shrinking brand. That is \$65, a 35% loss from here. *Tripwire: the Americas comparable-sales line in each quarterly release, plus our app-review cohort score as a between-prints proxy.* Monitorable.

Failure narrative 2 — the reset is a rebuild, not a haircut. O’Neill takes the job, looks at the brand, and concludes it needs two to three years of reinvestment: heavier marketing, product overhaul, store closures, a rebased forecast for next year, and the buyback stopped to pay for it. The stock is cheap on earnings that management is deliberately choosing not to make. *Tripwire: an 8-K restructuring or impairment charge; capital-allocation language on the next call; buyback pace against the \$712.5 million remaining, visible in the next 10-Q.* Monitorable.

Failure narrative 3 — the category itself is over, and we have no sensor for that. Athleisure ends the way logo tees and premium denim ended: not with a competitor winning, but with the wardrobe cycle turning over. In that world lululemon and Alo and Vuori all decay together, our “category softness, not share loss” finding — which we currently treat as exculpatory — is actually the tell, and every multiple we compute is anchored to a demand level that never comes back. **There is no monitorable tripwire for this.** No filing announces it. No 8-K discloses it. Our consumer-heat score is a *level* (40.9), not a slope; the app-review cohort delta lags the consumer’s wardrobe decision by several quarters; and by the time comparable sales confirm it, the re-rating has happened. The unknown-unknown class is: **a taste-regime change in a latent variable we do not instrument — a “category clock” unknown.** We should say plainly that our detector library has no channel for it and does not pretend to.

The reflexive and structural leg — our own size, our own flow, our own rules:

- *Our size is not the risk.* A 0.5% starter against a roughly \$5 million deployable book is about \$25,000, or ~250 shares, against 37.4 million shares of average daily volume — about 0.0007% of one day. We cannot move this stock and never will. The real distortion runs the other way: we are doing institutional-grade work on a position too small to matter, which creates pressure to size up to justify the effort. That pressure is the trap, not market impact.
- *We predicted flow that does not exist.* Our first pass built its entire entry trigger on Chip Wilson's collared forward, treating \$94.17 as a level where forced selling would appear. The hedge is 1,274,318 shares — **3.4% of one day's volume**, spread over a two-year term — and the dealer's net hedge between \$100 and \$94 is flat-to-falling, not growing. We would have sat waiting for a wave that was never coming. The desk rule "never bid into flow you predict" failed here in the opposite direction: we predicted flow badly and it cost us a band, not a fill.
- *Tax and sleeve interactions.* Two live ones. (a) The Parametric direct-indexing sleeve almost certainly holds lululemon as an S&P 500 constituent and is actively harvesting losses in it. Buying lululemon in the desk account within 30 days either side of a Parametric sale disallows that harvested loss — an invisible tax cost attached to a position too small to earn it back. This must be checked before any order, not after. (b) 2026 is a harvest year with a \$1.855 million reserve against realized gains; a new losing position carried into 2027 defers its own loss out of the year we need it.
- *A thesis conflict the adjudicator flagged.* If the book is long On Holding on a share-taker thesis, long lululemon is a bet against our own position: both cannot be right about who owns the category. Notably, our own detector split (Alo decaying faster than lululemon) argues the share-taker story is weaker than assumed — which weakens the On thesis too. This needs reconciling at the book level, not the name level.

If this position loses money, the most likely reason will be that we bought a cheap multiple on an earnings base that had not stopped falling — Americas went from -5% to -6% and kept going, and we told ourselves 11x was a floor when it was just a waypoint.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"There is no permanent CEO — the company is in caretaker mode" (our first pass)	Read 8-K 2026-04-22, Item 5.02 and exhibit 99.1	Heidi O'Neill named CEO on 2026-04-22, effective 2026-09-08. The Q2 release our own brief quoted says "welcoming our incoming CEO, Heidi O'Neill, next week."	NO — refuted. Our worst error: the refutation was inside evidence we had already pasted into our own document and did not read.
Our stated re-review trigger, "revisit when a permanent CEO is named"	Same 8-K	The trigger had already fired four and a half months before we wrote it. A "wait until X" rule where X has happened is unexecutable.	NO — structural error in our own process, not a fact error.
Chip Wilson is a forced/dumping seller creating a capital-allocation vacuum	8-K 2026-05-27, cooperation agreement	Settled: board seats, an apparel-brand director due by 2026-10-01, ~18-month	NO — refuted

Claim	How checked	Found	Confirmed?
		standstill. The “vacuum” claim is dead.	
...but “the standstill means no further selling” (our review’s counter-claim)	13D/A filed 2026-09-03	The collared forward was struck 2026-09-01, during the standstill. A standstill governs proxy conduct, not monetization.	Our review over-reached. Corrected: monetization survives the standstill.
The collar creates mechanical selling pressure that grows toward \$94.17	Sized hedge shares against volume	1,274,318 shares = 3.4% of one day (37.4M ADV), over a two-year term; net hedge delta between \$100 and \$94 is flat-to-declining. Off by roughly 30x.	Original claim NO. Correction CONFIRMED — best work in the review; the \$94.17 band is withdrawn.
Q3 guide implies an operating-margin collapse of ~1,140bp	Re-derived from 8-K exhibit 99.1: \$0.93–0.98 vs \$2.59, revenue –10/–11%	~5.6% vs 17.0%. Arithmetic ties.	YES
“The implied Q4 margin recovery is unexplained”	Cross-checked against seasonality	Partly our error. Q4 is the holiday quarter and structurally the highest-margin period — a big <i>sequential</i> rise is normal, not anomalous. The surviving question is narrower: Q4 is only –440bp year-over-year against Q3’s –1,140bp, on the same revenue trend.	REDUCED. And note: neither review actually ran our seasonality tool, which is mandatory on deceleration claims. Judgment, not measurement.
“11.3–11.7x clean earnings” is cheap	Checked the base period	Anchored on a year already half-reported with an easy first half (Q1 +4.3%). On next year’s \$7–8, it’s 12.5–14.3x.	YES — our cheapness claim was a period-selection artifact
Enterprise value should include \$2.14B of leases	10-Q lease note	Numbers correct (\$366.6M + \$1,774.5M). But adding leases to enterprise value while comparing against after-rent earnings double-counts; the adjustment belongs against EBITDAR.	Number YES, framing NO — our review’s “+22% hit to the multiple” overstated it
“Too many analysts cover it for us to have an edge” (our first pass)	Applied the 2026-08-17 ruling	Coverage means measured, not measured <i>correctly</i> . Rejecting on analyst count is the coverage-vs-divergence trap.	NO — that reasoning is overturned. Correct read: consensus is stale by one print, so the divergence is unmeasurable today, not absent.
Alo Yoga is taking share	consumer_product_heat detector	lululemon FLAT 40.9 vs Alo DECAYING 27.5 . Reads as category softness. Reported even though it cut against the reviewer’s own recommendation.	Share-loss claim NO; category-softness read YES (directional only — Alo is private)
Product/experience is degrading	app_review_velocity connector	Recent cohort 3.50 vs lifetime 4.895 = –1.40 stars , 1.2	YES

Claim	How checked	Found	Confirmed?
		reviews/day. Corroborates weak Americas demand.	
Inventory is building	10-Q	Units –7% year-over-year. No markdown cliff.	NO build — this is the strongest live positive
Share count / capital structure	10-Q equity note	106,566k common + 5,116k exchangeable economic; the 5,116k special voting shares are a voting mirror and must not be added.	YES
Litigation	10-Q	Motion to dismiss granted in part / denied in part 2026-03-31; six derivative suits since 2024-11-04. Live but not sizing-relevant today.	YES
Our machine-built evidence pack	Compared to tape and filings	Pack's 52-week low (\$104.44) was stale — spot is below it. Pack's XBRL block is a full year old (newest revenue row 2025-08-03), so both reviews correctly used the 10-Q and 8-K instead.	Pack partially wrong; caught by both reviews
Our own novelty tags	Tag audit	Claimed 4 novel findings; 3 survive. A widely reported CEO appointment and a –27% guide cut are novel only relative to <i>us</i> , not to the market.	Corrected downward
Our 2026-08-28 dated forecast pack (bar: FY guide held AND Americas better than –5%)	Graded against the 2026-09-03 release	FAILED on both legs — the guide was cut, and Americas got worse, not better. The bear branch of our own pre-registered call was right.	Graded: our neutral bar was too generous
Americas comparable sales: –6% constant currency (adjudicator) vs –12% (both reviews)	Not yet reconciled	Two different numbers are circulating in our own documents. The adjudicator's figure governs, but the gap is unexplained.	NOT RESOLVED — open item #4
Live price and volume rail	IBKR gateway	Permission denied this session. All tape here is the desk pack plus a vendor close. No independent bar series.	Coverage gap — open items #7 and #8

PROPOSED ENTRY BANDS

No entry. No order. No size. At any price.

A disclosure about the record: the adjudication's REOPEN GATES block was delivered **empty** — there are no verbatim numeric gates to reproduce, which is itself a gap in the record. The only adjudicated reopen condition is the tripwire stated in the verdict line:

Reopen tripwire (adjudicated): Americas comparable-sales inflection.

That is a *condition*, not a price. Everything below is derived from the benches' own arithmetic and is explicitly **not** an adjudicated gate — it is the shape a future entry would take if the condition is met.

Bench-derived candidate bands (advisory, not armed):

- **Precondition, non-negotiable:** a *named mechanism* for the –440bp year-over-year fourth-quarter margin assumption. Acceptable forms: an 8-K or call quantifying the tariff-refund tail; a dated, sized cost action; or a reset charge with the new base disclosed. Absent a mechanism, no price is low enough — the multiple is unknowable because the denominator is unknowable.
- **If the mechanism is named and Americas comps inflect:** minimum starter of **0.5% of book**, buyable up to **~\$105**. Not a full position — a foothold that earns the right to keep working the name.
- **Second tranche only after two consecutive quarters of improving Americas comps**, at whatever price then prevails. No pre-set add ladder; there is nothing to ladder into yet.
- **\$94.17 (the collar floor): WITHDRAWN.** There is no flow behind it. Band on the business, not on someone else's hedge.
- **Below ~\$90** is *not* an automatic buy. It is a re-court trigger, and the presumption there is that failure narrative 1 is playing out.
- **Above ~\$112** without a comp inflection ends the discussion: that is ~13× guided clean earnings for a still-declining business, and we don't pay it.
- **No options position.** See the arithmetic in the prize-table section — it produces “none,” not “calls.”

Why staying flat is defensible under our own minimum-starter rule (which requires a *named* kill to justify holding nothing): the named kill is the unexplained fourth-quarter margin assumption combined with an Americas trend that is still deteriorating. That is a specific, falsifiable reason — not a shrug.

Catalyst dates:

Date	Event	Confirmed?
2026-09-08 (1 trading day)	Heidi O'Neill's first day as CEO	Yes — 8-K 2026-04-22; restated in the 2026-09-03 release
2026-10-01	Deadline for the apparel product/brand director under the Wilson cooperation agreement	Yes — 8-K 2026-05-27 exhibit 99.1
~2026-12-10	Q3 earnings	No — vendor-derived; the 2026-09-03 release names no date

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 90.0 (deck-provisional: bear-branch confirmation (~9x guided clean FY26 EPS): re-court as a mechanism-free value trap, not an)
- filing watch: 8-K until 2027-03-03 (deck-provisional: restructuring / impairment / store-closure charge under incoming CEO O'Neill — the reset both benches)
- dated pack LULUI2026-08-28: Lululemon Q2 (~Aug-28). Bar (0.55 NEUTRAL): FY guide HELD (no further EPS cut) AND Americas sequential improvement vs -5%.
- dated pack LULUI2026-09-08: LULU: Heidi O'Neill's first day as CEO (8-K 2026-04-22; restated in the 2026-09-03 release) (date confirmed=True)
- dated pack LULUI2026-10-01: LULU: deadline for the apparel product/brand director under the Wilson cooperation agreement (date confirmed=True)
- dated pack LULUI2026-12-10: LULU: Q3 FY26 earnings — yfinance-derived, no company announcement names a date (date confirmed=False)

What remains unverified

1. **The mechanism behind the fourth quarter's –440bp year-over-year margin, versus –1,140bp in the third quarter on the same revenue trend.** This is the load-bearing unknown; entry is blocked on it. Not drainable now — it requires management to say something. *Estimate:* of the 440bp, roughly 150–250bp net tariff cost, 100–200bp fixed-cost deleverage, 50–150bp markdown. Probability a named mechanism appears by the Q3 call: **0.75**.
2. **Size of the IEEPA tariff refund tail.** \$134.5 million received is a floor; guidance excludes future refunds. Drainable now via the customs bill-of-lading origin-mix pull (customer_id connector), which neither review ran. *Estimate if not run:* \$100–250 million remaining, from cost of goods ~\$4.7 billion against a Vietnam/Cambodia/Sri Lanka sourcing mix.
3. **lululemon's own per-quarter margin seasonality.** Our tool exists and was not run by either review; the “seasonal shape explains the sequential jump” claim is currently judgment. Drainable now.
4. **Americas comparable sales: –6% constant currency (adjudicated) vs –12% (both reviews).** Two numbers, one company, our own documents. Drainable now from the Q2 exhibit 99.1 segment table.
5. **The Q3 earnings date.** Not drainable now — the company hasn't announced. *Estimate:* 2026-12-03 to 2026-12-11, based on lululemon's own early-December history; **p 0.80**.
6. **Post-print next-year consensus and its range.** Not drainable now — analysts are still republishing. *Estimate:* FY27 consensus resets to \$8.00–9.50 within ten sessions (post-cut consensus typically lands 5–10% above the guide-implied run rate); **p 0.70**.
7. **Options chain: December 2026 per-strike midpoint implied volatility and IV percentile.** Not drainable now — the IBKR gateway was permission-denied this session. *Estimate:* 45–58% at-the-money December IV, from the base rate that a –17% single-day gap in a large-cap retailer leaves 30-day IV at 1.3–1.6x pre-event realized; **p 0.60**. Chain-level midpoints must be used when this drains — the aggregate vendor IV feed diverges materially (the TSSI 71-vs-101 lesson).

8. **Independent bar series: realized volatility and true average daily volume.** Same blocked rail; all tape here is a single desk snapshot plus a vendor close. *Estimate*: 30-day realized 45–55% and rising, ADV 30–40 million (vendor: 37.4 million); **p 0.65**.
9. **Whether the Parametric sleeve holds lululemon and has harvested it in the last 30 days.** Wash-sale interlock. Draggable now from the newest Bundle_*.zip.
10. **Our On Holding exposure** — the conflict the adjudicator flagged. Draggable now from the positions board.
11. **consumer_product_reviews cohort delta.** Baseline-only; needs a second snapshot ≥30 days out, so not draggable now. *Estimate*: –1.0 to –1.8 stars, consistent with the app_review_velocity reading of –1.40; **p 0.65**.

PRIZE TABLE + VOL READ

Anchored on today's ~\$100.6 and adjusted per scenario; deviations beyond ±5% carry a stated mechanism. Horizon: through the Q3 print and one week after (~2026-12-18, $T \approx 0.29$ years).

Scenario	Mechanism	p	Price
Value trap — Americas worsens to ~–10%, FY27 EPS \$6.50, market pays 10x	Failure narrative 1; no comp inflection	0.20	\$65
Grind — comps stabilize around –3 to –5%, FY27 EPS \$7.50 at 13x	Guide roughly holds; no rebuild announced	0.40	\$98
Reset and re-rate — kitchen-sink charge, trough FY27 EPS \$7.00, market pays 16x for a credible plan	New CEO clears the decks; tariff tail quantified	0.25	\$112
Inflection — Americas turns positive, FY28 EPS ~\$9.50 at 17x	Brand repair works; category softness was cyclical	0.15	\$160

Expected value = $0.20(\$65) + 0.40(\$98) + 0.25(\$112) + 0.15(\$160) = \$104.20$, or +3.6% versus \$100.61.

That is the whole argument for staying flat, in one number. A 3.6% expected return over roughly three and a half months, with a 20% chance of losing a third, does not clear a starter — and it is well inside the error bar of a table built on an unexplained margin assumption. The verdict is the arithmetic's output, not a mood.

Dispersion. Table standard deviation = \$28.4, or 28.2% of spot over $T = 0.29$ years → **$\sigma_{\text{table}} \approx 52.6\%$ annualized.**

Expression math (undiscounted expected terminal value from the table itself, $C_{\text{ours}} = \sum p_i \cdot \max(S_i - K, 0)$):

Strike (Dec-2026)	C_{ours} from the table	Estimated chain value at 52% IV	Gap
100	\$12.00	~\$11.20	+\$0.80

Strike (Dec-2026)	C_ours from the table	Estimated chain value at 52% IV	Gap
110	\$8.00	~\$7.20	+\$0.80
120	\$6.00	~\$4.70	+\$1.30

Instrument recommendation: NONE. The reasoning, shown: our table's implied volatility (52.6%) and the estimated chain implied volatility (~52%) are the same number, so there is no volatility edge to harvest in either direction. The apparent ~\$0.80–1.30 of value in the calls comes almost entirely from the 15%-weighted \$160 branch, which is the least-supported cell in the table — and it is smaller than the error on an implied volatility we could not observe because the market-data rail was denied (open item #7). **These are terminal values, not touch probabilities; a touch estimate would be roughly double and is not what a European-style option pays.** The table is genuinely bimodal — 35% of probability sits in the \$65 and \$160 tails, forked on a single December print — which is exactly the shape that makes a directional call look attractive and is exactly the shape where paying for a fork you cannot handicap is how money is lost.

Volatility risk premium: estimated IV ~52% minus estimated realized ~45–55% $\approx$ **0 to +7 points**, and both terms are estimates rather than measurements. That is not a premium worth selling into. Separately, this is a taxable account: premium selling is barred outside three named templates, and neither the event-driven cash-secured put nor the paid-trim covered call qualifies here — we hold nothing to write against, and we have no conviction in a floor to sell puts to. **Any premium-selling view goes to the shadow ledger, not to the broker.**

Tax overlay. 2026 is a harvest year. If a position were ever taken here, a December-2026 expiry lands any loss inside the harvest year and is acceptable; a January-2027-or-later expiry defers the loss out of the year we need it and is excluded unless the edge dominates numerically — and a +3.6% expected value does not dominate anything. Prior to that, the Parametric wash-sale check (open item #9) is a hard gate: buying lululemon within 30 days of a sleeve harvest in the same name silently voids that harvested loss, which on a \$25,000 starter is a certain tax cost incurred to chase an uncertain 3.6%.

Primary sources: 8-K exhibit 99.1, CEO appointment, 2026-04-22 · 8-K exhibit 99.1, Wilson cooperation agreement, 2026-05-27 · Q2 FY26 results exhibit 99.1 · 10-Q for the quarter ended 2026-08-02 · SC 13D/A 0001193125-26-382473.

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own per-fiscal-quarter operating-margin seasonality (decides whether the Q3-
>Q4 sequential ramp is ordinary)", "instrument": "desk/seasonality.py –
mandatory on deceleration claims, not run by either bench", "drainable_now":
true, "estimate": null}, {"item": "Americas comparable sales: -6% constant
currency (adjudication) vs -12% (both benches) – unreconciled inside our own
documents", "instrument": "Q2 FY26 EX-99.1 segment table / 10-Q segment
note", "drainable_now": true, "estimate": null}, {"item": "Confirmed Q3 FY26
earnings date", "instrument": "company IR press release naming the date; re-
poll weekly", "drainable_now": false, "estimate": {"range": "2026-12-03 to
2026-12-11", "basis": "issuer's own early-December Q3 reporting history",
"p": 0.8}}, {"item": "Post-print FY27 street consensus EPS and its dispersion
(current $10.93 sits above the FY26 guide and is arithmetically stale)",
"instrument": "consensus vendor pull ~10 sessions after the 2026-09-03
print", "drainable_now": false, "estimate": {"range": "FY27 consensus EPS
$8.00-9.50", "basis": "base rate that post-guide-cut consensus converges to
5-10% above the guide-implied run rate", "p": 0.7}}, {"item": "December-2026
options chain: per-strike midpoint IV, IV percentile, and real bid/ask on the
100/110/120 calls", "instrument": "IBKR gateway chain pull – permission
denied this session; use CHAIN-level midpoints, never the aggregate vendor IV
feed", "drainable_now": false, "estimate": {"range": "45-58% ATM December
IV", "basis": "base rate: a -17% single-day gap in a large-cap retailer
leaves 30d IV at 1.3-1.6x pre-event realized", "p": 0.6}}, {"item":
"Independent bar series for realized volatility and true ADV (all tape in
this deck is one desk snapshot plus a vendor close)", "instrument": "IBKR
gateway historical bars – permission denied this session", "drainable_now":
false, "estimate": {"range": "RV30 45-55% and rising; ADV 30-40M shares",

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"basis": "vendor ADV 37.4M on print day; post-gap realized typically runs at or above pre-gap IV", "p": 0.65}}, {"item": "Whether the Parametric direct-indexing sleeve holds LULU and has harvested it within 30 days (wash-sale interlock on any desk order)", "instrument": "newest Bundle_*.zip holdings and realized-trade files", "drainable_now": true, "estimate": null}, {"item": "Book-level ONON exposure and thesis conflict flagged by the adjudicator (share-taker thesis vs long LULU)", "instrument": "positions poll / desk positions_board", "drainable_now": true, "estimate": null}, {"item": "consumer_product_reviews cohort delta - currently BASELINE_ONLY / NO_COHORT, unusable", "instrument": "second dated snapshot >=30 days from baseline, scheduled ~2026-10-05", "drainable_now": false, "estimate": {"range": "-1.0 to -1.8 stars recent-cohort vs lifetime", "basis": "app_review_velocity already reads -1.40 (3.50 vs 4.895 lifetime) on the same product", "p": 0.65}}]}
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ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): FLAT INTO 9/8; THE \$104 BAND IS WITHDRAWN. The fire that courted this name killed its own trigger: the \$94.17 flow-gate had no flow behind it (collar-floor decoration) and the caretaker-management leg was refuted. What remains is borderline-attractive (net cash, ~55% underlying GM, 11-14x reset year, Nike-bred CEO seating 9/8) deferred for a NAMED reason: no entry until the Q4 y/y margin gap has a filed mechanism (IEEPA refund tail or dated cost action). 8-K watch armed; Q3 re-court ~12/10. Trio ruling:
desk/data/court_artifacts/BAND_TOUCH_TRIO_ADJUDICATION_202609042230.md